

# Weeks 3–4: Terms of Use, Disclaimers, and Liability Clauses in Generative AI

## Introduction

As generative AI tools like ChatGPT, Claude, and Gemini continue to expand across education, research, and business domains, their usage is governed by carefully drafted Terms of Use and Disclaimers. These documents define the boundaries of responsibility between AI developers and users, functioning as a legal shield that limits liability and clarifies acceptable usage.

This section explores how leading AI companies structure their terms, why disclaimers have become central to generative AI governance, and how these clauses are evolving in response to increasing regulatory scrutiny and public expectations of accountability.

## 1. Purpose and Legal Significance of Terms and Disclaimers

Terms of Use and Disclaimers serve three primary legal functions in AI deployment:

1. **Defining user rights and restrictions:** specifying what actions users are permitted or prohibited from taking (e.g., no use for illegal or harmful content generation).
2. **Limiting company liability:** protecting AI providers from being held responsible for incorrect, misleading, or harmful outputs.
3. **Establishing user responsibility:** clarifying that users are ultimately accountable for how AI-generated content is applied.

In essence, these documents transform AI interactions into a contractual relationship, where both parties' duties are pre-defined, reducing ambiguity if disputes arise.

## 2. Key Clauses Found in Major AI Terms of Use

| Clause Type                       | Description                                                                        | Example (ChatGPT / Claude / Gemini)                                                                      |
|-----------------------------------|------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|
| <b>Accuracy Disclaimer</b>        | States that outputs may be inaccurate or incomplete.                               | “ChatGPT may produce inaccurate information about people, places, or facts.” – <i>OpenAI Terms, 2025</i> |
| <b>User Responsibility</b>        | Shifts accountability for use or misuse to the user.                               | “You are responsible for the content you generate and its consequences.” – <i>Anthropic Terms</i>        |
| <b>No Legal or Medical Advice</b> | Prohibits reliance on AI for professional advice.                                  | “Content generated is for informational purposes only and not a substitute for professional guidance.”   |
| <b>Intellectual Property</b>      | Clarifies rights over user inputs and outputs.                                     | OpenAI grants users ownership of outputs but retains license rights for service improvement.             |
| <b>Limitation of Liability</b>    | Caps the company’s financial or legal exposure.                                    | “OpenAI’s liability shall not exceed the amount paid by the user in the past 12 months.”                 |
| <b>Prohibited Use Policy</b>      | Lists restricted activities (e.g., deception, harassment, political manipulation). | All major AI providers restrict harmful or illegal use cases.                                            |

3. Rationale Behind Broad Disclaimers

The unpredictable nature of generative AI, particularly its tendency to hallucinate facts, makes disclaimers indispensable. From a legal standpoint, disclaimers:

- **Preempt negligence claims** by warning users of potential inaccuracies.
- **Protect free speech** by clarifying that AI outputs are not the company’s “opinions” or “statements of fact.”
- **Reduce defamation risk** when users publish or act on AI-generated content.

For example, when ChatGPT falsely described an individual as a criminal in Australia (2023), OpenAI invoked its disclaimers to argue that the system’s outputs were automated predictions, not deliberate falsehoods. This reinforces how disclaimers serve as a first line of defense in AI liability management.

4. Comparative Snapshot of Liability Clauses

| Provider           | User Ownership of Outputs                                       | Disclaimer Scope                                      | Liability Cap                                   | Notes                                 |
|--------------------|-----------------------------------------------------------------|-------------------------------------------------------|-------------------------------------------------|---------------------------------------|
| OpenAI (ChatGPT)   | Yes, users own outputs; OpenAI retains license for improvement. | Broad – no warranties on accuracy or reliability.     | Capped to subscription fees or limited damages. | Updated Feb 2025 for GDPR compliance. |
| Anthropic (Claude) | Yes, outputs belong to users.                                   | Moderate – emphasizes user responsibility.            | Limited to service fees.                        | Focus on ethical use and safety.      |
| Google (Gemini)    | Shared ownership model under Google Terms of Service.           | Broad – includes “no liability for content accuracy.” | Limited; includes arbitration clause.           | Integrated across Google ecosystem.   |

## 5. Conclusion

Terms of Use and Disclaimers form the legal backbone of generative AI deployment. They safeguard companies from excessive liability while informing users of potential risks and limitations. However, as AI systems become integral to decision-making in education, law, and healthcare, blanket disclaimers may no longer suffice.

### Timeline

- Week 1-2 (09/08/2025 - 09/21/2025)

### Deliverables for Fall 2025 Weeks 3-4

- It is a detailed report analyzing the role of Terms of Use and Disclaimers in defining user responsibility and limiting corporate liability in generative AI systems, supported by case comparisons across OpenAI, Anthropic, and Google, along with discussion of evolving regulatory expectations in the global platform.

### References:

- OpenAI. *Terms of Use and Privacy Policy*. (Updated February 2025).  
<https://openai.com/terms>
- Anthropic. *Claude Terms of Service*. (2025).  
<https://claude.ai/terms>
- Google. *Gemini (Bard) Terms of Service*. (2025).  
<https://policies.google.com/terms>
- U.S. Federal Trade Commission (FTC). *Guidance on AI Disclosures and Liability*. (2024).  
<https://www.ftc.gov/business-guidance>

